Marketing Research for New Ventures

Marketing Research

INTRODUCTION

- Satisfying customers is the fundamental objective of successful marketing in every organisation.
- Achieving this objective involves far more than simply providing good service, and as we shall see, success often rests with effective market planning.
- Consequently, entrepreneurs must do a great deal of serious market research to understand who their customers are and how best to serve them.
- Research activities should take place before opening the new venture, and they should continue throughout the venture's existence.



THE MARKETING CONCEPT

- The **marketing concept** is a consciously articulated philosophy of business that says, in essence, “The consumer is king.”
- Specifically, the consumer is seen as -the fulcrum, the pivot point about which the business moves in operating for the balanced best interests of all concerned.

- This concept translates into three considerations for a successful business.



THE MARKETING CONCEPT

- The three considerations are:
- 1 Entrepreneurs must make a concerted effort to establish customers and, in doing so, satisfy those customers by giving them value in products and services that they want and need.
- 2. Entrepreneurs must focus on long-term profitability by creating a reputation for service and quality, not by focusing myopically on short-term sales.
- 3. Entrepreneurs must integrate marketing with other facets of doing business so that a co-ordinated management effort is achieved without disproportionate emphasis on any one function.



A Commitment to Customers

- Satisfying customers means giving value in exchange for patronage.
- Sales come from both parties agreeing to a fair exchange, but more specifically, customers buy products and services that they believe are worthwhile, not what sellers feel are important.

- Entrepreneurs who take the time to empathise with prospective customers learn a great deal of useful information. Putting oneself in customers' shoes helps to understand what motivates them to make purchases.

A Commitment to Customers

- Responding to customer preferences is enhanced by understanding their per*ceptions*.
- The marketing concept encourages entrepreneurs to tune in those perceptions, to do marketing research necessary to understand customers' needs, and to make decisions based on those needs rather than rely on preconceived notions or the owner's intuition.



A Long View toward Profitability

- Too often, customer service is misinterpreted in the short term as an overt effort to satisfy all customers (thereby maximising sales) through tactical price discounts, sales, and enthusiastic advertising.
- Customer service does not mean acquiescence to consumer whims; it is not that simple. Every Organisation must first provide for a long-term existence; service has no meaning if the firm cannot survive to provide it.
- Therefore, implicit in the marketing concept is the need to ensure the long term continuity of predictable quality, sales, and service, and, in turn, viability of the enterprise.



A Long View toward Profitability

- The marketing concept is interwoven with an explicit assumption that every Organisation has a responsibility to its constituent **stakeholders.**
- These include a corporation's stockholders, private investors, lenders, and key executives who have a vested interest in the venture.
- Stakeholders also include the company's employees, its customers, and the community at large.
- In the extreme, society is a stakeholder that benefits from the introduction of new value-added products or necessary services by entrepreneurs.



Integrated Objectives

- Marketing is not an isolated activity; neither is production, finance, staffing, or any other organizational activity.

- However, this message too often falls on deaf ears. Entrepreneurs who create their ventures based on technical experience (e.g., an engineer who goes into private consulting) often forget or ignore marketing.

- On the other hand, marketers who start new ventures often forget other aspects of the business. Unfortunately, marketers can be equally myopic, pouring money into sales promotions while equipment rusts or accounting ledgers go untouched.

- It is not unusual to find inventors who, preoccupied with their creations, expect customers to beat a path to the cash register automatically. For the inventor, marketing can be like an unwanted trip to the dentist. Yet the same individual will not hesitate to spend money on the best production equipment. It is easy to focus intensely on gaining sales volume yet lose control of costs and go bankrupt.

STAKEHOLDERS AND THEIR INTEREST

Exhibit 5-1	**Stakeholders and Their Interests**
Equity stockholders	Profitable return on investments, wealth accumulation
Employees	Income and job stability, pride of successful venture
Customers	Reliable source for products and services, value-added enterprise
Suppliers and vendors	Stable customer for products and services, competent distributor
Managers and owners	Career positions, higher-valued enterprise, wealth accumulation, and psychological satisfaction
Local citizens	Contributor to community economy, job source, tax source to community
Society and humankind	Value-added products and services, social improvement through new enterprise, innovation, creativity

MARKETING RESEARCH

- **Marketing research** is defined as "the systematic and objective process of gathering, recording, and analyzing data for aid in making marketing decisions."

- The essence of marketing research is to provide information used in decision making, and for the entrepreneur, there are fundamental differences between market information needed prior to start-up and after a firm is established.



MARKETING RESEARCH

- Prior to opening for business, the entrepreneur wants to know whether
  - a market exists for a new product of service,
  - who is likely to be a primary customer,
  - how to position the enterprise in a market,
  - and how the product or service will be priced, promoted, and distributed.
- Addressing these issues becomes part of the pre-start-up planning process.

- Once a firm has become established, much of this information is authenticated through actual experience, and market research expands to include a continuous competitive analysis.

MARKET RESEARCH IN THE PRE-START-UP PHASE

- Before entrepreneurs actually commit themselves to opening a business, the most important question to answer is “Will it sell?”
- A mistake that many entrepreneurs make is to merely assume that their product or service will sell. Inventors become infatuated with their products and assume that everyone else should be equally infatuated.
- Professionals assume that their credentials will assure them of clients, and retailers assume that shoppers will flock to their stores, if only out of curiosity. Only rarely will entrepreneurs find themselves in such favourable situations.
- Consequently, they should question whether it will sell, and good market research will help provide the answer.

Who Is The Customer?

- Developing a clear profile of potential customers is a basic element of market research.
- In marketing language, a customer profile is called a **customer scenario**.
- Customers may be young or old, married or single, teachers or students, homeowners or renters, poor or wealthy, or some combination of these or a thousand other characteristics.
- For example, with the increasing number of women in the labour force, there will be a continued emphasis on new services for working wives and mothers.
- By narrowing the focus on local working women with preschool children, an entrepreneur considering a new day-care centre can establish a profile of potential customers.
- Without having a clearly defined customer scenario, entrepreneurs often make terrible decisions.

Sex and Age

- These are two essential characteristics to identify in the customer scenario.

- Age is more difficult to classify, but if an entrepreneur has a specific interest, such as merchandising aerobic workout clothes, then he or she can study demographic trends, find out who take aerobic classes, talk to manufacturers of clothes, and study magazines on health and fitness to compile data on sex and age of potential consumers.
- For example, if a new aerobic clothing store is proposed for an expensive resort area, then the demographic data on who lives there, visits the resort, and uses aerobic facilities will reveal a pattern with specific information on sex and age categories of potential customers.

- Once data have been accumulated, they should be organized for decision making.

Income Status

- Consumers must have the ability to buy, and the amount of money will influence the product or service concept, price, nature of promotions, and method of distribution.
- In the aerobic clothing example, assume that 50 percent of the sales are to women between 21 and 30 years of age, and further assume that these are wives of professionals or are themselves young professional women with family incomes greater than GH¢ 60,000 a year. Price is not going to be an object. In fact, a higher price may be essential to reinforce a fashionable image.
- If research shows that only a few women are in that income group, and that a majority fall into a GH¢ 25,000 to GH¢ 60,000 annual bracket, the shop may still sell expensive items but have a wider selection of moderately priced items.
- If income is between GH¢ 15,000 and GH¢ 25,000, money is an object, and vacationers might avoid a high-priced fashion boutique. Under GH¢15,000? Set up bargain racks.

Occupation and Education

- Both of these factors can significantly influence an entrepreneur's decisions. A travel agency positioned to serve the diplomatic community in Washington, DC, for instance, will specialize in major foreign cities and capitals, upmarket accommodations, and individual flight bookings. The agency will have multilingual staff who are skilled in service such as visa regulations, foreign health certificate requirements, and currency exchange.
- An office supply store located near a metropolitan courthouse can expect a high percentage of clients to be attorneys, and consequently, the store might stock legal office supplies and special legal forms. Positioning a bookstore in a university community will require a book inventory distinctly different from that a bookstore located in a rural town.
- Occupations and education levels will directly influence microcomputer sales and related products such as SAT software. Occupations and education levels also influence sales of foreign language training tapes, clothing, magazine subscriptions, decorative art, investments, bank services, health care, entertainment, and insurance programs.

Other Customer Characteristics

- These include family profiles, such as being married, single, or divorced; having preschool toddlers, teenage children, or children away at college; and having one or both parents working. Customers also can be identified by ethnic group, religion, and domicile.
- Demographic and economic information provide insights about consumers on age, sex, occupations, education, ethnicity, religion, and domicile, but there are many other personal and behavioural characteristics to consider.



Other Customer Characteristics

- Marketing research is used to discover consumer buying habits to determine, among other things, whether they own homes, rent apartments, have two cars, play golf, belong to aerobic clubs, watch television news, take trips, have cats, belong to unions, subscribe to environmental news, own guns, or buy mutual funds.

- There are all sorts of things to consider, and although only a few of these will have value to any one venture, entrepreneurs often discover new ideas by remaining alert to changes.



Where Is the Market?

- Part of the customer scenario will involve locating the potential customer base. There are obvious categories, such as large metropolitan areas, suburban communities, small cities, and rural towns.

- These broad classifications do not reveal enough about markets, but they are useful for researching demographic trends and for using U.S. Census data to start developing a customer profile.



Market Size and Changes

- It is important to determine the potential for current and future sales. Macroeconomic data, if appropriate to the venture, may be the easiest to obtain through census studies, Other sources.

- Market size and potential for new sales can be studied through special reports prepared for small businesses and particular industries



Market Size and Changes.

- It is important to determine the potential for current and future sales. Macroeconomic data, if appropriate to the venture, may be the easiest to obtain through census studies, Chambers of Commerce, and industry reports.
- Market size and potential for new sales can be studied through special reports prepared for small businesses and particular industries.
- The Ghana Census data are a primary source of information on market size and location, and they can provide different types of demographic information broken down by region and districts in Ghana. These data are upgraded in most instances every ten years, and they are supplemented by region and local demographic studies.
- Census reports and most other government data are public information available in most libraries, but wading through these sources requires dedication and patience.

Segmenting the Market: What Niche to Fill

- A market segment is one distinct customer group on which a business will concentrate its efforts.
- A market segment, also called a market niche, keenly focuses an entrepreneur's efforts on product characteristics, pricing, promotions, and channels of distribution related to a specific customer group.
- Companies of every size try to establish segmentation strategies so that efficient use of resources can be achieved without ambiguity.



Niche Characteristics.

- Every niche will have characteristics defined partially by the customer scenario and partially by location.
- By studying market trends, entrepreneurs often discover untapped markets or, just as important, discover that competition is already intense in their market niche.
- One way or the other, the information is valuable to encourage a marketing strategy aimed at one *niche*, or to steer away from potential disaster.
- Recall that a good idea is only good if it will “sell". It follows that a glistening new fast-food restaurant in a town that already has fast-food franchises every two blocks is a risky enterprise, but the same restaurant elsewhere may be a gold mine.
- Market niches can be defined for most products and services in nearly any location.

Growth Characteristics

- For nearly any market segment, there will be ebbs and flows. Changes reflect economic conditions, evolving competition, or possibly a stage in the product life cycle.
- Entrepreneurs must have their facts straight concerning these changes and be able to identify a growing market.
- Few markets remain stable, and there are always opportunities arising from social changes.



Growth Characteristics

- During the past decade, for instance, women's sporting events have become more popular, and this trend has awakened women's interests in recreational sports. As a result, new opportunities have emerged in recreational clothing and accessories.
- One company that has taken advantage of this change is Reebok International, a little-known manufacturer of men's gym shoes prior to 1986. Since then, however, Reebok has become the market leader in sports shoes by introducing four different lines of shoes each year, and most recently, ten models just for women."

Growth Characteristics

- Investors and lenders will want to see hard data on growth trends, and they will take a dim view of weakly supported market information.
- Guesstimation is deadly, and emotional ploys are suicide. Even well-documented data will be discounted by experienced investors.
- Arthur Lipper, a seasoned venture capitalist and publisher, says that he only gives credence to business plans that are well supported by factual studies. Even then, he cuts in half all sales projections and doubles the time projected by entrepreneurs to break even.
- Growth statistics should be documented by data related to the market niche described by a consumer scenario.

Growth Characteristics

- Statistics should be discussed in terms of existing. and potential competition, effects of economic changes, market share that accounts for substitutes, and business cycles. Economic changes include the effects of inflation, interest rates, consumer credit, and tax legislation, among other considerations.
- Business cycles are subject to many forces, including political influences like import quotas (or lack of them), the psychology of an active stock market, patterns of unemployment, and unusual phenomena (e.g., hijackings, world economic downturn that affect travel).
- Growth also is linked to complementary products, and sales may be contingent on sales of other goods and services. For example, when major computer manufacturers configured their personal computers using 3/2-inch disk drives, they created a boom market for producers of 3/2-inch diskettes. For companies in the 8-mm home movie industry, the technological breakthrough of VCRs devastated their markets.

Sales Forecast.

- The result of good market research will be a well-defined sales forecast.

- A **sales forecast** is the quantified volume and value of projected sales within a market niche for a specific time period.
- The sales forecast will be used to accurately estimate revenues, costs, profits, cash requirements, and investment needs.

- In addition, a sales forecast helps determine human resource, production, and management-systems requirements.

- A good sales forecast will specify sales volume and convert that information into monetary terms. Monetary sales value is necessary because in order to estimate sales, a price has to be estimated, which in turn influences expected sales.

- Market research will also reveal *seasonality,* the pattern of variation in sales over a calendar year.

Competition: Who Are the Market Players?

- Competition is always on an entrepreneur's mind. At the moment a new idea is conceived, one asks, "I wonder if anyone else is doing this?" And that question continues to be asked as long as the business exists. Rather than guess at an answer, savvy entrepreneurs will set about to answer specific questions about competition within their venture's market niche.
- **Existing Competitors.** In most instances, existing competitors can be accurately identified. For example, almost anyone in business will be listed in commercial telephone books.
  - If the new venture is in retailing, a tremendous amount of advertising will be done by competitors; getting answers about them requires the entrepreneur to become an avid window shopper.
  - Professional firms often have local and regional societies with membership listings that can be obtained. These include dental associations, accounting societies, legal referral services, and data-processing societies.
  - Many personal service firms are licensed and listed in state and local directories. For instance, guidance counselors, cosmetologists, building contractors, architects, appraisers, and real estate brokers are registered with state licensing agencies. Most enterprises will be identified, cataloged, and cross-referenced in several official data bases as well as in associations and social clubs.
  - Accessing most of this information is a matter of spending a few difficult hours in libraries.

Competition

- Researching products is usually more difficult because inventors are unlikely to disclose their ideas until they are ready to go to market. Still, a preliminary patent search will reveal products or processes that have reached a formal filing stage.
- To identify manufacturers who may already be making a similar product, commercial telephone books are once again very helpful., Calling firms and inquiring about their products is not difficult, and in most instances, public relations employees will be anxious to tell you about their products; that's how they get customers.
- Most manufacturers have brochures explaining their products, and in many instances, they have customer hotlines for inquiries.
- There are many sources of information. The task is to identify the best sources rather than meandering aimlessly in a library.

Products or Substitutes.

- The question of what products or substitutes exist now is an adjunct to finding out what competitors exist.
- Research can also reveal lucrative market niches untouched by even the most sophisticated corporations. For example, IBM does not own the microcomputer market, and even with Apple, Hewlett-Packard, Digital, and many others in the field, Michael Dell was able to rapidly fill a $200 million niche with his PC Limited personal computer.
- Find out what is available, and classify that information according to customer scenarios and location-specific potential. Determine what is offered in cities and suburbs, and whether a certain area of growth is untapped. For instance, Accra, has many fine restaurants in the city center, but most new housing exists in satellite communities away from the city. It can be a nightmare to drive into the city (like many other cities), so the essential question is whether sufficient restaurants exist in the high-growth surrounding communities.
- The crucial question is one of *availability*. Are products or services available to the target customer group? An associated question is whether these customers buy *substitutes*. If research shows that people in a certain region prefer good beef but often cannot get it, ask what they eat instead of beef. Is it chicken? Turkey? Perhaps it is seafood. If seafood is a viable substitute for beef and no one is addressing that market, then a seafood outlet could succeed.

Distribution: How Will Customers Be Reached?

- A **distribution system** is the physical process of getting products to market or providing services, and although distribution questions seem "mechanical" in the sense of transporting physical goods (or locating services), they often are concerned with the basic nature of a business. Many companies have been built around strong distribution -systems rather than unusual products or services.

  - McDonald's transformed hamburgers into an international phenomenon through a franchise distribution system.

  - Melcom in Ghana has a unique distribution system of a shop in all the regional capitals.

Distribution System

- A distribution channel can *be* the business.
- Avon Corporation, for example, markets an enormous selection of products on a global basis, but product selection is less important than the image of "Avon Calling," the familiar jingle that identifies its distinct competency as a home distributor.
  - Federal Express is a distribution service.
  - FED EX
- Entire industries rely on distribution channels, including telemarketing, cataloging, franchising, multilevel marketing, mail-order direct marketing, and many other forms of customer contact.
- Aside from the choice of wholesaling or retailing, new products may be licensed to firms with established market channels, joint-ventured with manufacturers, brokered through distributors, and consigned for sale.
- New technologies extend these options to include computer based advertising, catalogs on disks, CD books and newspapers, and videotape retailing. Recent adopters of videotape marketing include real estate agents, personnel agencies, sports recruiters, and education consultants.
- Consequently, there may be obvious distribution channels for some businesses, but entrepreneurs are limited in their choices only by their imagination



REVIEW

- **Identify the major questions and categories of market research.**
- **Describe potential characteristics to be considered in a customer scenario.**
- **Define marketing research in terms of market segments, competitors, sales forecasts, and choices among distribution systems.**



SOURCES OF MARKET INTELLIGENCE

- Entrepreneurs, will become deeply involved in more intense research questions after they have identified a particular commercial opportunity.
- They will not rely on a textbook so some categories of information sources are suggested here:
  - **Existing Competitors**
  - **Trade Publications**
  - **Government Sources**
  - **Potential Customers**
  - **Other Sources and Methods of Research**
    - Fairs
    - Test marketing